# WARRANTY ATLAS · Hawaii (HI)

Law last amended: 2012 (eff. 2012-07-06) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-23

Cites: Haw. Rev. Stat. § 437-28(a)(21)(G); Haw. Rev. Stat. § 437-56(d)-(e); Haw. Rev. Stat. § 437-57; Haw. Rev. Stat. § 437-59(d)-(e); Haw. Rev. Stat. §§ 437-28(a),(c), 437-35, 437-36, 437-39, 437-51
**Flagged state.**

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Statute silent on time / not established | § 437-28(a)(21)(G) |
| **Mfr-backed service contract** | **Not addressed** | - | § 437-28(a)(21)(G) |
| **CPO warranty** | **Not addressed** | - | § 437-28(a)(21)(G) |
| **Independent service contract** | **Not addressed** | - | § 437-56(c) (parts-markup RO exclusion only) |

Hourly rate: Retail rate: warranty labor rate per hour can be no less than the rate the dealer charges retail customers, and no more than it. The statute gives no RO-sample method for labor; the RO method in § 437-56(b) is for parts markup only.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Written notice to the dealer of the grounds for disapproval (§ 437-28(a)(21)(G); § 437-56(d)) | § 437-28(a)(21)(G) (30/30); § 437-56(d) (deemed approval) |
| **Payment** | 30 days after approval. Dealer filing deadline: Dealer must be allowed at least 30 days after the repair is completed to submit (§ 437-56(d)); no outer limit stated. | |
| **Chargebacks** | 12 months; fraud: 1-year limit does not apply to fraudulent claims. No audit of paid claims or chargeback more than 1 year after payment; chargeback only if mfr carries burden that the claim was fraudulent or dealer did not substantially comply with reasonable written procedures; 30 days' written notice before imposing; deale… | § 437-57(a) |
| **Rate resubmission** | Silent. Sample: No statutory labor-rate sample. Excluded: none listed. | § 437-28(a)(21)(G) |
| **Mfr response** | Silent; no response = approved: no rule in statute. Challenge: Forum: DCCA administrative hearing (Office of Administrative Hearings) for d…. | § 437-51(a) |
| **Penalties** | Suit to enjoin, with damages and a reasonable attorney's fee (§ 437-36; the section is framed around unlicensed activity, but the court may enjoin any chapter violation). DCCA hearing under § 437-51: each party bears its own costs and attorney's fees; hearing cost shared Board may suspend, revoke, fine ($100-$1,000 per violation) or de… | HRS §§ 437-28(a),(c), 437-35, 437-36, 437-37.5, 437-39, 437-51(g) |
| **Audit procedures** | Audit climate score 35/100 (Elevated restrictiveness; chargeback limits 30/75 + process and oversight 5/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: yes; response period: 30 days; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 437-28(a)(21)(G) (30/30); § 437-56(d) (deemed approval)): "shall be paid within thirty days after approval and shall be approved or disapproved within thirty days after receipt … Failure to disapprove a claim within the required time frame constitutes approval of the claim."*
***Chargebacks*** *(§ 437-57(a)): "chargeback any warranty or incentive payment previously made more than one year after the date the manufacturer or distributor made the payment to the dealer. This section shall not apply to fraudulent claims."*
***Rate*** *(§ 437-28(a)(21)(G)): "pay its dealers a labor rate per hour for warranty work that is less than that charged by the dealer to the retail customers of the dealer nor shall the rates be more than the retail rates"*
***Factory time*** *(§ 437-28(a)(21)(G)): "In no event shall any manufacturer or distributor pay its dealers a labor rate per hour for warranty work that is less than that charged by the dealer to the retail customers of the dealer"*

## Notes

CLAIM-CLOCK CONFLICT: § 437-28(a)(21)(G) requires approval or disapproval within 30 days of receipt and payment within 30 days of approval. § 437-56(d), from the same 2010 act, requires approval or disapproval and payment within 45 days of receipt, with deemed approval if not disapproved 'within the required time frame'. The table uses the stricter 30/30. The labor rate is a floor AND a ceiling ('nor shall the rates be more than the retail rates'). Section (21)(G) is a licensing ground (Part I); §§ 437-56/57 are in Part II (DCCA hearing). No cost recovery (§ 437-56(e)). Recall and stop-sale claims carry the same limits as warranty claims (§ 437-59(e)); § 437-59(d) bars recall-related chargebacks, subject to § 437-57. Parts markup: effective within 90 days, presumed fair; at most once per 12 months; mfr may request additional information, which restarts the 90-day clock. The statute has…

Source: official · https://data.capitol.hawaii.gov/hrscurrent/Vol10_Ch0436-0474/HRS0437/HRS_0437-0056.htm (also HRS_0437-0028.htm, HRS_043… · Confidence: high.
Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.